Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2020
Question: Tax Strategy and Governance
Include Modeled Scores : Yes

Tax Strategy and Governance

Question

Does the company have a group-wide commitment on tax strategy and governance and is it available publicly?

Rationale

Often, tax avoidance strategies are drawn up in a legally sound way. Therefore, just having a general statement in the financial report which states that the company intends to comply with all tax laws and regulations in its countries of operations is not sufficient. According to KPMG "every company should be in a position to give a coherent justification of their approach to key tax issues such as the use of tax minimization techniques, which is consistent with their approach to other CSR issues."

The adoption of a formal tax policy serves to guide company practices and provide investors, regulators and other external stakeholders with an idea of the company's tax risk profile, against which practices and disclosures can be compared. An effective policy should be overseen by the board of directors, created in conjunction with relevant senior management, and regularly reviewed to ensure emerging risks are addressed.

This question seeks to determine if there is a clear and transparent tax policy or strategy available in the public domain that addresses sensitive or high-risk tax issues. The question does not seek to assess the company's approach to the topics listed above, but merely the transparency of the company's approach to tax.

Performance Summary	
Question Level Company Performance	0
Question Weight	50
Year-on-Year Change	0
Industry Average Score	8
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

A commitment to compliance with the spirit as well as the letter of the tax laws and regulations in the countries in which the company operates: commitment to complying with the law does not suffice for this aspect, we expect companies' commitments to include commitment to complying with the intent of the law.
A commitment not to transfer value created to low tax jurisdictions: this aspect is also covered by a commitment to pay tax where revenues are generated.
The use of tax structures intended for tax avoidance: equivalent for our purposes would be a commitment not to use tax schemes based upon form without commercial substance.
The company's approach to transfer pricing: best practice is for companies to conduct intra-group transactions following the "arm's length" principle.
The use of secrecy jurisdictions or so-called "tax havens": tax havens can also be referred to as offshore entities that lack business purpose or substance.

Data Requirements

While many companies have group-wide tax accounting policies with clearly defined roles and responsibilities within the organization in place, we specifically look for taxation policies that address issues such as responsible taxation, transparency, transfer pricing, etc., going beyond minimum legal tax disclosure requirements.

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company has a publicly available tax policy/principles/strategy in place	Not known - not measured
Company has a publicly available tax policy/principles/strategy in place which indicates its approach towards taxation	Not known - not measured
Commitment to compliance with the tax laws and regulations in the countries in which the company operates	Not known - not measured
Commitment not to transfer value created to low tax jurisdictions	Not known - not measured
Covers the use of tax structures intended for tax avoidance	Not known - not measured
Covers the company's approach to transfer pricing	Not known - not measured
Covers the use of secrecy jurisdictions or so-called "tax havens"	Not known - not measured

Questionnaire

Does your company have a **publicly available** tax policy/principles/strategy in place which indicates your approach towards taxation?

1. ○
   Yes, we have a publicly available tax policy in place covering the following elements. Please provide the relevant weblink:
   1. ☐ A commitment to compliance with the spirit as well as the letter of the tax laws and regulations in the countries in which the company operates
   2. ☐ A commitment not to transfer value created to low tax jurisdictions
   3. ☐ The use of tax structures intended for tax avoidance
   4. ☐ The company's approach to transfer pricing
   5. ☐ The use of secrecy jurisdictions or so-called "tax havens"
2. ○ No, we do not have a publicly available tax policy.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.